

Miscellaneous	\$198	\$628	\$1,142	\$1,041	\$849	\$989	\$779
Cash contributions	\$397	\$874	\$1,664	\$2,395	\$2,066	\$2,273	\$2,306
Insurance	\$24	\$127	\$317	\$475	\$482	\$397	\$243
Pensions and Social Security	\$2,540	\$5,879	\$7,399	\$9,305	\$7,181	\$3,289	\$1,182

Source: Consumer Expenditure Survey, US Bureau of Labor Statistics, August 2016.

The next exhibit provides a different view of the same data, with expenditure categories broken down by the percentage of overall household expenditures by age group. Expenditure shares grow for ages seventy-five and older in the categories of housing, health care, and cash contributions. For these averages, Bernicke's suggestion about retirement spending holds; expenditures decrease in a number of discretionary categories. Housing and health-care expenses may not always decline, but the average growth in these categories is more than offset by expenditures in other categories. Suggesting that retirees should plan for constant inflation-adjusted spending may overestimate the retirement savings that many households will require for a successful retirement. On average, spending declines with age.

Exhibit 5.17

Spending Shares in the Consumer Expenditure Survey, 2015

	Under 25 years	25–34 years	35–44 years	45–54 years	55–64 years	65–74 years	75 years and older
Average Annual Expenditures	\$32,797	\$52,062	\$65,334	\$69,753	\$58,781	\$49,477	\$38,123
Food at home	7.8%	6.8%	7.6%	6.8%	7.1%	7.7%	7.5%
Food away from home	7.2%	5.9%	6.0%	5.3%	4.7%	4.9%	4.5%
Alcoholic beverages	0.8%	1.0%	1.1%	0.8%	1.0%	0.9%	0.6%
Housing	34.5%	35.2%	34.0%	30.3%	30.9%	33.3%	37.4%
Apparel and services	3.9%	3.6%	4.0%	3.7%	2.7%	2.7%	1.8%
Transportation	19.3%	18.8%	16.8%	16.9%	17.1%	16.2%	13.7%
Health care	3.0%	5.3%	5.9%	6.7%	8.7%	11.6%	15.3%
Entertainment	4.1%	4.8%	4.9%	4.8%	5.7%	6.1%	4.5%
Personal care	1.2%	1.2%	1.3%	1.2%	1.2%	1.2%	1.4%
Reading	0.1%	0.2%	0.1%	0.2%	0.2%	0.3%	0.5%